

IN THE SUMMER of 2000, Tata Tea acquired UK's Tetley Tea for \$450 million. Nothing

spectacular, you might imagine. But it bordered on sheer audacity. After all, the buyer had a net worth of just \$114 million and was gobbling a much bigger company, with a revenue of \$264 million. Tata Tea saw a strategic rationale for the leveraged buyout (using debt to acquire a company and leveraging the acquired company's assets as collateral). It gave Tata Tea access to international markets with significant play and scale.

Soon, going global became a stated ambition for Indian corporates. In the past, barring a few exceptions, domestic business houses had an overseas presence through exports or small offices. But the Tetley deal marked the coming of age of India Inc. and start of a phase that saw Indian companies go on a shopping spree across the world.

Over time, that presence would cut across sectors. Be it automobiles, information technology and enabled services (IT/ITeS), telecommunications, fast-moving consumer goods, metals, textiles, hotels, pharmaceuticals, or pretty much anything else, the global map is now dotted with the ubiquitous Indian flag. This July, Tata Motors bought Iveco, an Italian commercial vehicle manufacturer, for \$4.4 billion. This made it the Indian automaker's largest acquisition ever and topped the \$2.3 billion purchase of Jaguar and Land Rover (JLR) in 2008.

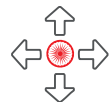
While there are enough reasons to be happy, the path to 2047 will be very different. Geopolitical tensions, technology invasion, and a disruption of the world order are



THE INDIAN STORY



Tata Tea's acquisition of Tetley Tea in 2000 marked the coming of age of India Inc and ensured that in the years to come Indian companies expand into all corners of the world



Over time, that presence would cut across sectors. In sectors like automobiles, IT/ITES, telecommunications, and FMCG, the global map is now dotted with the Indian flag



The opening up of the Indian economy in 1991 put the country quickly into the global arena. A breakthrough was the exodus of skilled professionals during Y2K



Growth in global markets took off significantly starting the turn of the century. It saw a flurry of M&As

some of the issues that Indian companies will have to contend with as they fulfill their global ambitions.

WELL BEGUN

The opening up of the Indian economy in 1991 put the country quickly into the global arena. Picking out that phase, Subramanian Sarma, Deputy Managing Director & President, L&T, says a breakthrough was the exodus of highly skilled professionals to the US during Y2K. "It fundamentally shifted global perceptions about India, which was about our talent, capability, and potential," he says.

That was later followed by Tata Steel acquiring the British Dutch steel company Corus in 2007, which was four times its size, and later JLR, from Ford Motor Company, in 2008. Another prominent deal was Aditya Birla Group company Hindalco's acquisition of Novelis in 2007. At the same time, Indian IT companies shifted into high gear alongside global trends, initially driven by Y2K, followed by a surge in contracts and, eventually, mergers and acquisitions (M&As).

"These developments not only enhanced India's brand globally but also demonstrated the ability to deliver in both manufacturing and services. Since then, India Inc has never looked back," says Sarma. For his company, the global journey began in the early 2000s. According to him, its manufacturing business began supplying critical, high-precision equipment to clients across the Americas, Europe, and the Far East.

The timing of some of these global forays is important from India's domestic perspective. The progress from 1991 to around 2004-05 was driven by a series of reforms. For a young and rapidly